

**NAME OF SCHOOL: MATER MISERICORDIAE SECONDARY SCHOOL,
RUMOMASI**

TERM: FIRST 2026/2027 ACADEMIC SESSION

WEEK: ONE

CLASS: SS1

SUBJECT: Economics

TOPIC: Basic Concepts: Wants & Scarcity

Introduction

- Economics is the study of how man allocates scarce resources among competing wants to satisfy them. Wants are unlimited desires for goods and services, but resources are limited — this is scarcity.

Wants and scarcity

- Human wants are insatiable — when one want is satisfied another appears. Scarcity means resources used to satisfy wants are limited relative to the demand for them (land, labour, capital and entrepreneur are all limited). Scarcity is the fundamental problem of economics and it forces choice.

Goods and services

- **Free goods** — abundant gifts of nature with no price (air, sunshine).
- **Economic goods** — scarce, command a price (food, clothing, petrol).
- **Consumer goods** — satisfy wants directly (bread, shoes); **producer goods** — used to produce other goods (machines).

CLASS EVALUATION

1. Define scarcity and explain why it gives rise to the study of economics.
2. Distinguish between free goods and economic goods with examples.
3. Why are human wants described as insatiable?
4. Classify the following as consumer or producer goods: sewing machine, bread, lathe, school bag.

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TERM: FIRST 2026/2027 ACADEMIC SESSION

WEEK: TWO

CLASS: SS1

SUBJECT: Economics

TOPIC: Factors of Production

Introduction

- Factors of production are the resources used to produce goods and services. They are land, labour, capital and the entrepreneur, each earning a reward.

The four factors and their rewards

- **Land** — natural resources on, above and below the earth's surface (rent).
- **Labour** — all human effort, physical and mental (wages/salary).
- **Capital** — man-made wealth used in production, e.g. machinery, tools, money (interest).
- **Entrepreneur/Organiser** — combines the other factors, takes risks and makes decisions (profit).

Characteristics

- Land is fixed in supply and immobile; labour is mobile, perishable and cannot be separated from the labourer; capital is man-made and depreciates; the entrepreneur bears the risk of loss but enjoys profit. Mobility of factors (occupational and geographical) determines how easily they move between uses.

CLASS EVALUATION

1. List the four factors of production and their rewards.
2. Explain what is meant by mobility of labour.
3. Why is the entrepreneur considered the most important factor?
4. Give three characteristics of capital.

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TERM: FIRST 2026/2027 ACADEMIC SESSION

WEEK: THREE

CLASS: SS1

SUBJECT: Economics

TOPIC: Opportunity Cost

Introduction

- Because resources are scarce, choosing one thing means giving up the next best alternative. Opportunity cost is the value of the next best alternative forgone — the real cost of any decision.

Examples

- A student who uses ₦2,000 to buy a textbook instead of a film ticket: the ticket is the opportunity cost. A farmer who plants maize on his land instead of yam forgoes the yam harvest. A government that spends on roads instead of hospitals forgoes the hospitals.

Scarcity, choice and scale of preference

- Choice follows from scarcity. A scale of preference is a list of wants arranged in order of importance, drawn up because income is limited. The want at the top is satisfied first; the one just below it shows the opportunity cost of the first choice.

CLASS EVALUATION

1. Define opportunity cost and give a personal example.
2. What is a scale of preference and why is it drawn up?
3. Explain how opportunity cost applies to a government budget.
4. Distinguish between money cost and opportunity cost.

**NAME OF SCHOOL: MATER MISERICORDIAE SECONDARY SCHOOL,
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TERM: FIRST 2026/2027 ACADEMIC SESSION

WEEK: FOUR

CLASS: SS1

SUBJECT: Economics

TOPIC: Basic Economic Problems

Introduction

- Every society faces three basic economic problems: WHAT to produce, HOW to produce and FOR WHOM to produce — all caused by scarcity of resources.

The three problems

- **What to produce** — which goods and services, and how much, given limited resources (choose between guns and butter).
- **How to produce** — the combination of techniques (labour-intensive vs capital-intensive), considering cost and availability of factors.
- **For whom to produce** — how the national income is distributed among the people (rich vs poor, cities vs villages).

Economic systems as solutions

- In a capitalist/free-enterprise economy the price mechanism decides; in a socialist/command economy the state decides; in a mixed economy both the state and the market decide (as in Nigeria).

CLASS EVALUATION

1. State the three basic economic problems of society.
2. Explain 'how to produce' with a labour-intensive example.
3. Compare how capitalism and socialism answer 'for whom to produce'.
4. Why is Nigeria described as a mixed economy?

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TERM: FIRST 2026/2027 ACADEMIC SESSION

WEEK: FIVE

CLASS: SS1

SUBJECT: Economics

TOPIC: Production & The Production Possibility Curve

Introduction

- Production is the creation of utility — wealth in goods and services. The Production Possibility Curve (PPC) shows the various combinations of two goods an economy can produce with its limited resources and given technology.

The PPC explained

- Points on the curve are attainable and efficient; points inside are attainable but inefficient (unemployment of resources); points outside are unattainable with current resources. A shift of the curve outward shows economic growth (more resources or better technology).

Forms of production

- **Primary** — extraction from nature (farming, fishing, mining).
- **Secondary** — manufacturing and processing (bakeries, refineries).
- **Tertiary** — services (banking, transport, teaching, trade).

CLASS EVALUATION

1. Define production and state its forms.
2. Draw a PPC and label the efficient, inefficient and unattainable points.
3. What causes the PPC to shift outward?
4. Classify the following: palm oil milling, banking, cocoa farming, shoe making.

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TERM: FIRST 2026/2027 ACADEMIC SESSION

WEEK: SIX

CLASS: SS1

SUBJECT: Economics

TOPIC: Demand & Supply: The Market

Introduction

- The market brings buyers and sellers together. Demand is the quantity of a commodity buyers are willing and able to buy at a given price over a period; supply is the quantity sellers are willing and able to offer for sale.

The law of demand and supply

- The law of demand: the higher the price, the lower the quantity demanded, other things being equal. The law of supply: the higher the price, the higher the quantity supplied. The point where the demand and supply curves intersect is the equilibrium price and quantity.

Market terminology

- **Market demand** — the total demand of all buyers; **effective demand** — desire backed by ability to pay. **Excess demand** (shortage) pushes price up; **excess supply** (surplus) pushes it down. Demand and supply together determine prices in a free market.

CLASS EVALUATION

1. Define demand and state the law of demand.
2. What is equilibrium price?
3. Explain the effect of excess supply on price.
4. Distinguish between market demand and individual demand.